CHAPTER 7: INTEGRATED PRACTICE PROCESS

This chapter guides you through applying the entire Top Down pattern in practice — from the morning of the machine opening to placing a trade.

7.1 Weekly Routine

Timing	What to do
Weekend (Sun 7)	Read the Fed report, next week's economy. Review the RRG chart, identify the leading sectors
Early Week (T2 Morning)	Check the VIX, see S&P futures before the open. Updated watchlist from Finviz/Barchart
During the week	Follow earnings calendar, sector news. Manage open positions
Weekends (T6)	Review performance, close positions to reach 50% profit, prepare to scan the new week

7.2 Check-list before entering an order

7-STEP CHECKLIST — BEFORE PLACING AN ORDER

- □ 1. MACRO: VIX < 25? Is the market not in a strong downtrend?
- □ 2. SECTOR: Are sector stocks in the Leading or Improving corner?
- □ 3. SCAN: Filter via Barchart/Finviz — is it at the top of the list?
- □ 4. FUNDAMENTAL: Reasonable P/E? EPS growth? Don't have too much debt?
- □ 5. IV%: Strategic fit? (Sell IV high, buy IV low)
- □ 6. STRIKE & PROBABILITY: POP > 68%? Strike below support?
- □ 7. RISK MANAGEMENT: Position < 5% of the portfolio? Is there a clear stop loss?

7.3 Real-Life Examples—Applying Top Down

Scenario: March 2025 — NVDA Stock Analysis

Step	Actual Analysis
1. Macros	GDP growth of 2.5%, VIX = 16 (low). The Fed is considering cutting interest rates. MACRO →
2. Sector	RRG: XLK (Technology) in the Leading corner. AI themes are being supported by large cash flows. → SECTOR ADVANTAGES